Block practice · Rare extensions

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Partnership agreements and what happens without one

Why keep a full set of accounting records

Why the capital/revenue split matters

OLevels.com SCHOOL

Practice workbook · Partnership agreements and what happens without one

What a written agreement should settle and which section 24 rules apply where there is none.

3 question parts: 1 worked-example retry and 2 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-02

1. Question 2 · part c · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part c only.

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2 Haitai has been in business for a number of years manufacturing handmade chocolate.

On 1 July 2023, he formed a partnership with another chocolatier, Ming. They agreed to share profits and losses equally.

(a) State **two** reasons, **other than** an injection of capital, why a sole trader would wish to form a partnership with another trader.

(2)

1 .....

.....

2 .....

.....

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1. Question 2 · part c · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part c only.

The partnership provided the following information for the year ended 30 June 2024.

	$
Carriage inwards	42 500
Direct expenses	26 950
Direct factory wages	127 500
Factory overheads	138 000
Factory supervisor's salary	45 000
Insurance paid	34 000
Inventory at 1 July 2023	
Raw materials	68 000
Work in progress	85 278
Finished goods	125 000
Inventory at 30 June 2024	
Raw materials	72 000
Work in progress	96 750
Finished goods	145 000
Non-current assets	
– Cost	200 000
– Provision for depreciation	120 000
Office expenses	232 000
Office salaries	97 000
Purchase of raw materials	550 000
Rent and rates paid	190 000
Revenue	1 787 500

Additional information

- Non-current assets are depreciated at 10% per annum using the reducing balance method of depreciation.
- At 30 June 2024, the amount of rent and rates paid in advance was $2 500 and insurance owing was $1 325
- The partners decided to allocate all costs other than office expenses and office salaries to the factory.

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1. Question 2 · part c · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part c only.

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(b) (i) Prepare the manufacturing account for the year ended 30 June 2024.

(13)

Haitai and Ming
Manufacturing account for the year ended 30 June 2024

OLevels.COM SCHOOL

1. Question 2 · part c · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part c only.

Following completion of the manufacturing account the partnership was made aware that some of the costs allocated in full to the manufacturing division should have been apportioned in part to the administration department.

- Insurance and rent and rates should have been apportioned 80% to the factory and 20% to administration.
- The factory machinery accounted for 60% of all non-current assets.
- Carriage outwards accounted for 25% of the carriage inwards charge.

(ii) Calculate the corrected production cost after these adjustments have been made.

(5)

	$	$
Draft production cost		
Corrected production cost		

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OLevels.COM SCHOOL

1. Question 2 · part c · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part c only.

(c) When the partnership was formed the partners did not draw up a formal partnership agreement.

Advise the partners whether they should draw up a formal partnership agreement.

(5)

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(Total for Question 2 = 25 marks)

1. Question 2 · part c · 5 marks · Working and answer

Working and answer

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2. Question 2 · part d · 4 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

2 (a) State which accounting concept applies in **each** scenario.

(3)

Scenario	Accounting concept
Adjusting expenses for other receivables	
Creating a provision for irrecoverable debts	
Recording goods taken for personal use	

(b) Define the terms:

(i) profitability

(1)

(ii) liquidity.

(1)

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2. Question 2 · part d · 4 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

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A business provided the following information.

Ratio	2018	2017
Gross profit percentage	23.50%	20.00%
Profit for the year as a percentage of revenue	15.97%	12.47%
Current (working capital) ratio	2.89:1	1.75:1
Liquid (acid test) ratio	1.57:1	0.87:1

(c) Evaluate the performance of the business over the two years.

(5)

OLevels.com SCHOOL

2. Question 2 · part d · 4 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

(d) Identify, indicating with a tick (✓), which statements are true or false in the absence of a partnership agreement according to section 24 of the Partnership Act 1890.

The first one has been completed as an example

(4)

	True	False
Profits and losses are shared equally	✓	
5% interest on capital		
No interest on drawings		
5% interest on partners' loan		
All partners receive a salary		

(e) Discuss the need for a partnership to prepare different accounts from those prepared by a sole trader.

(6)

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2. Question 2 · part d · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 2 · part a · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part a only.

2 (a) Explain why it is advisable to draw up a partnership agreement when forming a new partnership.

(3)

Joan and Lewis are in partnership sharing profits and losses equally.

The partnership agreement provides for:

- interest of 8% per annum on opening capital balances
- an annual salary of $17 000 for Lewis
- interest of 5% per annum on total drawings
- interest of 6% per annum on partnership loans.

(b) Explain **one** reason why a partner may decide to provide a loan to the partnership rather than investing more capital.

(2)

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3. Question 2 · part a · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Why keep a full set of accounting records

The benefits of complete double-entry records over incomplete records for control and decision-making.

2 question parts: 1 worked-example retry and 1 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ACC-PIR-11

1. Question 2 · part b · 4 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part b only.

2 On 1 January 2023, Thelma started in business by introducing cash of $5 000 and a motor vehicle valued at $12 000. On this day, she also took out a bank loan of $5 000 repayable in full on 31 December 2028.

(a) (i) Calculate the equity at 1 January 2023.

(1)

Thelma did not maintain a full set of accounting records but was able to provide the following information after her first year's trading.

Balances at 31 December 2023	$
Bank overdraft	2 198
Cash in hand	890
Inventory	14 568
Other receivables	200
Other payables	567
Trade receivables	2 167
Trade payables	2 325

During the year ended 31 December 2023:

- Thelma purchased an additional motor vehicle costing $10 000 that she funded from her own monies.
- All motor vehicles were depreciated by 20% per annum using the straight line method.
- A further bank loan, $3 000, was taken out. This was to be repaid in full on 30 June 2024.
- Thelma withdrew cash, $4 000, and goods costing $800

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1. Question 2 · part b · 4 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part b only.

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(ii) Prepare the statement of financial position at 31 December 2023.

(15)

Thelma
Statement of financial position at 31 December 2023

OLevels.com SCHOOL

1. Question 2 · part b · 4 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part b only.

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1. Question 2 · part b · 4 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part b only.

(b) Discuss **two** reasons why a business should maintain full accounting records.

(4)

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1. Question 2 · part b · 4 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part b only.

On 31 December 2023, another trader, Louise, provided the following information.

31 December	Current ratio	Quick ratio (acid test)
2022	2.8:1	1.6:1
2023	1.2:1	0.8:1

(c) Evaluate the change in the liquidity of Louise's business over the two years and discuss the implications of this for the business's credit suppliers.

(5)

OLevels.COM SCHOOL

(Total for Question 2 = 25 marks)

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1. Question 2 · part b · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 18 · part d · 5 marks

2023 JAN · Paper 01

Further practice · Attempt part d only.

18 On 30 September 2022 the bank column of Sam's cash book showed a balance of $2 640 Dr which did not agree with his bank statement balance of $4 079 Cr on the same date.

He discovered the following differences.

- A direct debit, $148, had been entered in the cash book as $184 and bank charges, $182, had not been entered in the cash book.
- A cheque received, $260, and cheques issued totalling $1 845 had been entered in the cash book but had not yet been processed by the bank

(a) Calculate the updated bank balance in Sam's cash book at 30 September 2022.

(3)

(b) Prepare the bank reconciliation statement at 30 September 2022.

(5)

Sam
Bank reconciliation statement at 30 September 2022

	$
Updated bank balance per cash book	

(c) State **two** features of a direct debit.

(2)

1 .....

2 .....

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2. Question 18 · part d · 5 marks

2023 JAN · Paper 01

Further practice · Attempt part d only.

Sam currently maintains only a cash book to record his business transactions. He has decided that he should maintain a full set of accounting records in the future.

(d) Evaluate **two** benefits to Sam of maintaining a full set of accounting records.

(5)

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(Total for Question 18 = 15 marks)

2. Question 18 · part d · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Why the capital/revenue split matters

Extended writing on how misclassification distorts profit, asset values and decisions by users.

3 question parts: 1 worked-example retry and 2 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ACC-REC-24

1. Question 1 · part d · 5 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

1 On 31 December 2024, Jay, a sole trader, provided the following information.

	$
Inventory at 1 January 2024	15 600
Machinery at 1 January 2024 – Cost – Provision for depreciation	 75 500 18 750
Discount allowed	1 328
Discount received	534
General expenses	8 900
Insurance	2 080
Machinery repairs	1 500
Purchases	69 320
Rent and rates	5 600
Returns inwards	3 214
Revenue	143 200
Wages and salaries	24 560

Additional information at 31 December 2024

- Closing inventory was valued at $12 900
- Machinery is depreciated at 20% per annum on a reducing balance basis. There had been no purchases or disposals of machinery during the year.
- Irrecoverable debts of $850 were to be written off.
- Other receivables for insurance were $250
- Other payables for wages and salaries were $440

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1. Question 1 · part d · 5 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

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(a) Prepare the income statement for the year ended 31 December 2024.

(12)

Jay
Income Statement for the year ended 31 December 2024

OLevels.COM SCHOOL

1. Question 1 · part d · 5 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

Following preparation of his income statement, Jay discovered that a payment for machinery repairs, $500, had been entered in the machinery account.

(b) Calculate the adjusted profit for the year ended 31 December 2024 after the correction of this error.

(4)

Jay is considering changing his method of depreciation to the straight-line method as he believes that this will increase his profit for the year.

(c) Explain, referring to a relevant accounting concept, whether he should proceed with this proposal.

(4)

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1. Question 1 · part d · 5 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

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(d) Advise Jay why it is important to differentiate between capital expenditure and revenue expenditure.

(5)

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(Total for Question 1 = 25 marks)

1. Question 1 · part d · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 18 · part d · 5 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

18 (a) Define the terms:

(i) other payables

(2)

(ii) other receivables.

(2)

Waseem is preparing his financial statements for the year ended 31 May 2018.

On 5 June 2018 he received an invoice, $960, for advertising covering the period 1 March 2018 to 31 October 2018.

(b) Calculate the amount to be added to the advertising account for the year ended 31 May 2018.

(2)

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2. Question 18 · part d · 5 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(c) Complete the table by indicating with a tick (✓) which transactions are revenue expenditure and which are capital expenditure.

(4)

Transaction	Revenue expenditure	Capital expenditure
Factory roof repairs		
Factory extension		
Machinery installation		
Machinery maintenance		

(d) Evaluate why it is important for a business to distinguish between revenue expenditure and capital expenditure.

(5)

(Total for Question 18 = 15 marks)

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2. Question 18 · part d · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 18 · part b · 5 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

18 On 1 July 2024, Javid installed a new IT system in his premises in order to meet the demand for online shopping.

This project incurred the following costs.

	$
Redesign of premises to accommodate the new servers	20000
Cost of computer network	34000
Installation costs of the computer equipment	5000
Five-year maintenance contract for the network	3000 per annum
Training costs for IT staff on how to operate the network	12000
Training costs for delivery staff	4500

(a) Calculate the **total amount** of:

(i) capital expenditure

(5)

(ii) revenue expenditure.

(3)

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3. Question 18 · part b · 5 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

(iii) Explain your treatment of the cost of the redesign of the premises to accommodate the new servers.

(2)

(b) Explain the importance of the correct treatment of capital expenditure and revenue expenditure.

(5)

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(Total for Question 18 = 15 marks)

3. Question 18 · part b · 5 marks · Working and answer

Working and answer

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